

Focus on Failures

The failure rate of triple tops is high in bull markets (25%) but much lower in bear markets (8%). A triple top fails when price breaks out downward and drops no more than 5% before turning around and heading meaningfully higher. This is a key point. Price must decline to the confirmation price, the lowest low reached in the pattern. If price does not decline to that price, then the three-bump pattern *is not a triple top*—it is just a collection of minor highs (or, perhaps, some other chart pattern).



Figure 68.4 This is an example of a 5% failure where price fails to continue moving down by more than 5% before turning around. Strong industry trends were instrumental in turning around the stock.

Figure 68.4 shows a typical example of a 5% failure. The three tops are distinct minor highs that form after a 2-month spurt upward. It is not surprising that the stock needs a rest and decides to retrace some of its gains—a common occurrence. That sideways move forms the triple top.

The February valley is the lowest one in the pattern at 20.25. Price closes below that in March at 19.88, staging a downward breakout (although it's